

# Borrower Token Approval

Learn how to approve token transfers for funding notices

## Overview

Borrower token approval is the step where the borrower approves the transfer of tokens, making the funding notice visible to lenders and enabling the drawdown process to proceed. This approval step ensures borrowers verify token allocation before lenders can review and approve drawdowns.

## Who Can Use This

- Borrowers who have funding notices with generated tokens

## When This Is Used

Use token approval when:

- Tokens have been generated for your funding notice by the facility agent
- You want to proceed with the drawdown process
- You need to make the funding notice visible to lenders
- You're ready to enable lender review and approval
- You want to verify token allocation before proceeding

## Step-by-Step Process

### Reviewing Token Allocation

#### 1. Access Your Funding Notice

- Navigate to your funding notices section
- Find the funding notice with generated tokens
- Open the funding notice details

- View token allocation information

## 2. **Review Token Details**

- Check total token amount matches your funding request
- Verify the amount is correct
- Review funding date and purpose
- Confirm facility information is accurate

## 3. **Review Lender Distribution**

- View how tokens are distributed to lenders
- Check each lender's allocation amount
- Verify distribution percentages match facility participation
- Ensure all lenders are included
- Review individual lender allocations

## 4. **Verify Allocation Accuracy**

- Confirm total allocation equals request amount
- Check that lender percentages are correct
- Verify no errors in distribution
- Ensure all information is accurate

# **Approving Token Transfer**

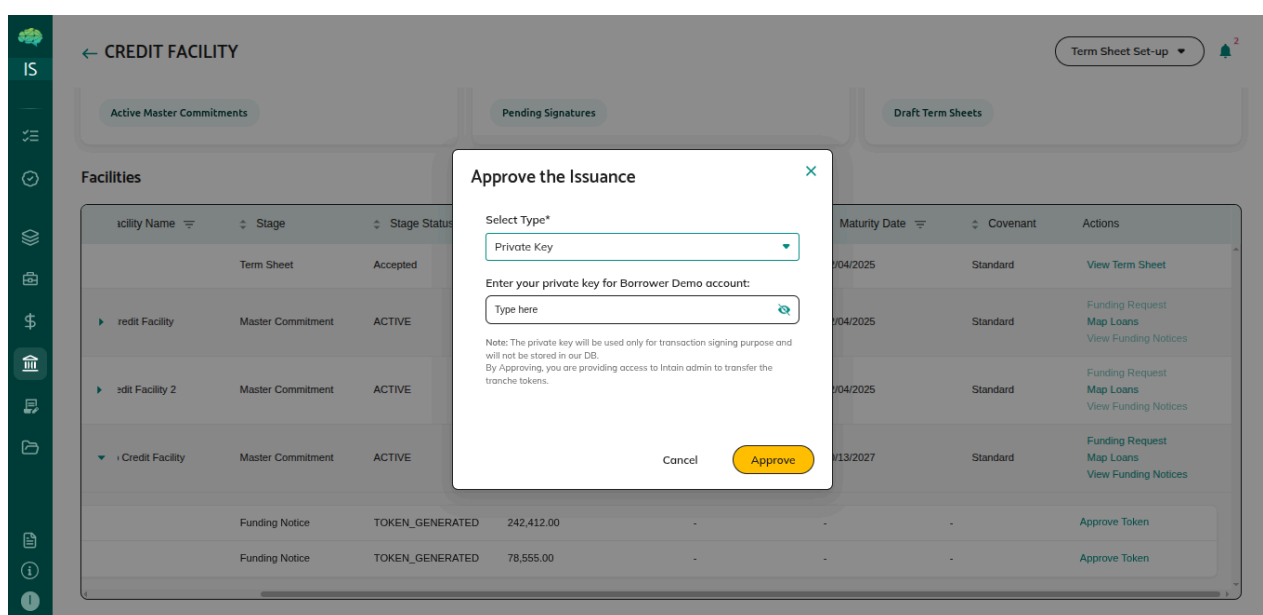
## 1. **Final Review Before Approval**

- Review all token allocation details one final time
- Verify token amounts match your expectations
- Check lender distribution is accurate
- Confirm you're ready to proceed
- Ensure all information is correct

## 2. **Initiate Approval**

- Click the "Approve Token Transfer" button or similar
- Review any confirmation messages
- Understand that approval makes notice visible to lenders

- Confirm you want to proceed



Issuer - Token Approval

### 3. Complete Approval

- Confirm your approval action
- Approval is processed
- Status updates to TOKEN\_APPROVED
- Funding notice becomes visible to lenders

### 4. Verify Approval Completion

- Confirm status shows approval is complete
- Verify funding notice is now visible to lenders
- Check that lenders receive notifications
- Ensure process can proceed

## After Approval

### 1. Lender Visibility

- Funding notice is now visible to all lenders
- Lenders receive notifications about the notice
- Lenders can review drawdown details
- Lenders can make approval decisions

## 2. **Track Lender Decisions**

- Monitor which lenders have reviewed the notice
- See which lenders have approved or rejected
- Track individual lender participation
- Monitor fund transfer confirmations

## 3. **Proceed with Drawdown**

- Approved lenders can proceed with fund transfer
- Each lender confirms their transfer independently
- Funds are transferred to you as lenders confirm
- Drawdown process completes as transfers are confirmed

## **Rules & Validations**

- You can only approve tokens after they've been generated. Tokens must be created by facility agent before you can approve.
- You must review allocation before approving. Take time to verify token amounts and distribution are correct.
- Approval makes funding notice visible to lenders. Once approved, lenders can see and review the notice.
- Once approved, you cannot easily undo the approval. Approval is a significant step, so verify everything before approving.
- Lenders can then review and approve drawdowns. After your approval, lenders make their own decisions.
- Token amounts must match funding request. The total token amount should equal your approved funding request amount.
- Lender distribution is based on facility participation. Allocations are calculated from lender participation percentages.
- Approval is required for process to continue. The drawdown process cannot proceed until you approve token transfer.
- Status updates after approval. Funding notice status changes to `TOKEN_APPROVED` to reflect your approval.
- Complete audit trail. Your approval is recorded with timestamp and details.

## What Happens Next

After approving token transfer:

- Funding notice becomes visible to all lenders
- Lenders receive notifications about the notice
- Lenders can review drawdown details and make decisions
- Approved lenders can proceed with fund transfer
- You can track lender decisions and transfer confirmations
- Funds are transferred to you as lenders confirm transfers
- Drawdown process completes as all transfers are confirmed

Understanding borrower token approval helps you complete the drawdown process, enable lenders to participate in your funding requests, and ensure proper verification before funds are disbursed.